In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Provision for discount on debtors		500			

Balance Sheet as on 31st March, 2016

Liabilities	₹	₹	Assets	₹	₹
			Sundry debtors	50,000	
			Less: Provision for discount on debtors	500	49,500



Student activity

Think: Is it possible to change the rate of provision for bad and doubtful debts? Under what circumstances will the trader decide this?

(xiv) Income tax paid

As per the Indian Income Tax Act, 1961, business income of the sole proprietor is not assessed and taxed separately. It is the sole proprietor who is assessed to tax for his total income including the business income. Hence, income tax paid by the business is not a business expenditure and is treated as drawings.

Adjusting entry

Particulars		L.F.	Debit ₹	Credit ₹
Drawings A/c	Dr.		xxx	
To Bank A/c				xxx
(Income tax of the proprietor paid)				

Presentation in final accounts

Trading / Profit and loss account	Not shown.
In Balance Sheet	Shown as deduction from capital on the liabilities side. Shown as a deduction from bank balance on the assets side.

Example

Trial balance of Sibi as on 31st December, 2017 shows the capital as ₹ 1,05,000 and cash at bank as ₹ 80,000.

Adjustment: Income tax paid ₹ 15,000. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	Drawings A/c	Dr.		15,000	
Dec. 31	To Bank A/c				15,000
	(Income tax paid)				

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